result from the social psychology that the trend changes represent. This ability provides an opportunity to prepare for potential changes before they are realized and become obvious to the majority. It is worth knowing, for instance, that banks were closed by government decree in 1933 shortly after the low of Supercycle wave (IV), and that most of the banks in the country closed in 1857 as well, at the end of Supercycle wave (II). It is unlikely, therefore, that with regard to bank health, the current bear market will fail to produce similar results. Most analysts work the other way around. For example, they would wait until they observed widespread bank closings and then declare their bearish meaning for the market, which is precisely the opposite of their true implication.

Most people need favorable out-of-market news to give them the conviction to buy. However, it was the *real* good news, the mass psychological state reflected by the Wave Principle, that gave A.J. Frost and myself the conviction to counsel buying stocks at the bottom, way before what most people consider good news started coming out. Similarly, the bearish news today is the position of the wave structure. What most people consider bad news for the market will come out at the bottom.

Events always fall into place to reflect the trend of the market, and thus the social mood, whether we can describe them in advance or not. As an example, when we forecasted the great bull market of the 1980s, we had no idea where the vehicles for speculation would come from. In 1983, *The Elliott Wave Theorist* pointed out the emerging conditions that were becoming associated with the bull market:

> With sentiment, momentum, wave characteristics and social phenomena all supporting our original forecast, can we say that the environment on Wall Street is conducive to developing a full blown speculative mania? In 1978, an Elliott analyst had no way of knowing just what the mechanisms for a wild speculation would be. "Where is the 10% margin that made the 1920s possible?" was a common rebuttal. Well, to be honest, we didn't know. But now look! The entire structure is being built as if it were planned. Options on hundreds of stocks (and now stock indexes) allow the speculator to deal in thousands of shares of stock for a fraction of their value. Futures contracts on stock indexes, which promise to deliver nothing, have been created for the most part as speculative vehicles with huge leverage. Options *on* futures carry the possibilities one step further. And it's not stopping there. Major financial newspapers are calling for the end of any margin re-